

D076

Finance Skills for Managers

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A manager deposits \$10,000 in an account at a credit union with 24 branches. It earns 6% compounded annually. She plans to retire in 20 years. What will the account hold after 3 years?

- A. \$11,910.16
- B. \$8,396.19
- C. \$11,800.00
- D. \$10,600.00

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

How much must be invested today at 5% compounded annually to have \$20,000 in 4 years?

- A. \$16,454.05
- B. \$24,310.13
- C. \$16,666.67
- D. \$19,047.62

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A 30-year-old printing firm can buy equipment for \$50,000 today. The vendor offers free installation. The equipment will bring in \$20,000 a year for 3 years. The firm's discount rate is 10%. What should it do?

- A. Accept, since any project returning more cash than it costs is worth doing.
- B. Reject; NPV is about -\$263.
- C. Accept; it earns \$10,000.
- D. Accept; NPV is about +\$263.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A wholesaler has cash of \$40,000, receivables of \$60,000 and inventory of \$100,000. Current liabilities are \$125,000. It also has a long-term bank loan of \$300,000 and owns a building worth \$900,000. What is its current ratio?

- A. 0.8
- B. About 0.47
- C. 0.625
- D. 1.6

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

A firm's current ratio is 2.0 and its current liabilities are \$80,000. What are its current assets?

- A. \$160,000
- B. \$40,000
- C. \$240,000
- D. \$80,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A company with 35 employees that just opened a second warehouse had revenue of \$2,000,000, cost of goods sold of \$1,200,000, operating expenses of \$500,000, and interest and taxes of \$100,000. What is its net profit margin?

- A. 40%
- B. About 16.7%
- C. 10%
- D. 15%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A plant budgeted for 10,000 units with variable cost of \$4 per unit and fixed cost of \$20,000. It actually made 12,000 units at a total cost of \$69,000. The plant manager earned a bonus last year. What is the flexible-budget cost variance?

- A. No variance can be measured once volume changes.
- B. \$1,000 favorable
- C. \$1,000 unfavorable
- D. \$9,000 unfavorable

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A sole proprietor whose bakery has a 4.8-star rating pays family groceries from the business checking account and buys flour on her personal credit card. At tax time her records are a mess. What is the best practice?

- A. Mixing is fine as long as the totals balance.
- B. Form an LLC; that will fix the past records automatically.
- C. Deduct the groceries, since the business account paid them.
- D. Keep separate accounts and record personal withdrawals as owner's draws.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

Sales this year were \$500,000, and inventory has held steady at 20% of sales. Sales are forecast to grow 10% next year. The CFO expects interest rates to fall. Using the percent-of-sales method, what inventory should be forecast?

- A. \$100,000
- B. \$110,000
- C. \$120,000
- D. \$50,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10. [TRANSFER — reversed stem / different variable]

Pro forma inventory for next year is \$90,000, and inventory runs at 15% of sales. What sales forecast does this imply?

- A. \$103,500
- B. \$90,000
- C. \$13,500
- D. \$600,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A machine for the company's Tucson plant costs \$120,000 and will save \$30,000 a year over its six-year useful life. What is the payback period?

- A. 2 years
- B. 0.25 years
- C. 4 years
- D. 6 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A \$200,000 project with equal annual cash inflows has a payback period of 5 years. What is the annual inflow?

- A. It cannot be found without a discount rate.
- B. \$40,000
- C. \$200,000
- D. \$1,000,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A manager deposits \$10,000 in an account ~~at a credit union with 24 branches~~. It earns 6% compounded annually. ~~She plans to retire in 20 years~~. What will the account hold after 3 years?

Target word: future value **Decides:** $10,000 \times 1.06^3$.

A	Correct	$1.06^3 = 1.191016$.
B	Inverted operation	Divides by 1.191016: a present value.
C	Adjacent category	Simple interest; ignores interest on interest.
D	Dropped element	Only one year of growth.

2. Answer A Concept 1 • transfer

How much must be invested today at 5% compounded annually to have \$20,000 in 4 years?

Target word: solve for PV **Decides:** $20,000 / 1.05^4$.

A	Correct	$1.05^4 = 1.21550625$; $20,000 / 1.21550625 = 16,454.05$.
B	Inverted operation	Multiplies instead of discounting.
C	Adjacent category	Simple-interest discounting at 20%.
D	Dropped element	Discounts for only one year.

3. Answer B Concept 2

A ~~30-year-old~~ printing firm can buy equipment for \$50,000 today. ~~The vendor offers free installation~~. The equipment will bring in \$20,000 a year for 3 years. The firm's discount rate is 10%. What should it do?

Target word: NPV decision **Decides:** $PV \text{ of inflows} = 20,000 \times 2.4869 = 49,737$.

A	Absolute language	Cash must be compared in present-value terms.
B	Correct	$49,737 - 50,000 \approx -263$; discounted inflows fall just short.
C	Dropped element	$60,000 - 50,000$ skips discounting.
D	Inverted operation	Right size, wrong sign.

4. Answer D Concept 3

A wholesaler has cash of \$40,000, receivables of \$60,000 and inventory of \$100,000. Current liabilities are \$125,000. ~~It also has a long-term bank loan of \$300,000 and owns a building worth \$900,000~~. What is its current ratio?

Target word: current ratio **Decides:** $\text{Current assets } 200,000 / \text{current liabilities } 125,000$.

A	Confusion set	That is the quick ratio, which leaves out inventory.
B	Camouflage	Adds the long-term loan to current liabilities.
C	Inverted operation	$125,000 / 200,000$ flips the ratio.
D	Correct	$200,000 / 125,000 = 1.6$.

5. Answer A Concept 3 • transfer

A firm's current ratio is 2.0 and its current liabilities are \$80,000. What are its current assets?

Target word: solve for current assets **Decides:** $CA = \text{ratio} \times CL$.

A	Correct	$2.0 \times 80,000$.
B	Inverted operation	Divides instead of multiplies.
C	Confusion set	Adds liabilities to the assets.
D	Wrong stem number	Current liabilities.

6. Answer C Concept 4

A company ~~with 35 employees that just opened a second warehouse~~ had revenue of \$2,000,000, cost of goods sold of \$1,200,000, operating expenses of \$500,000, and interest and taxes of \$100,000. What is its net profit margin?

Target word: net margin **Decides:** $\text{Net income } 200,000 / \text{revenue } 2,000,000$.

A	Adjacent category	Gross margin, before operating costs.
B	Wrong stem number	Divides net income by COGS instead of revenue.
C	Correct	$2,000,000 - 1,200,000 - 500,000 - 100,000 = 200,000; / 2,000,000$.
D	Confusion set	Operating margin, before interest and taxes.

7. Answer C Concept 5

A plant budgeted for 10,000 units with variable cost of \$4 per unit and fixed cost of \$20,000. It actually made 12,000 units at a total cost of \$69,000. ~~The plant manager earned a bonus last year.~~ What is the flexible-budget cost variance?

Target word: flexible-budget variance **Decides:** $\text{Flexible budget at 12,000 units} = 48,000 + 20,000 = 68,000$.

A	Absolute language	Flexible budgets exist to handle volume changes.
B	Inverted operation	Spending above budget on a cost is unfavorable.
C	Correct	$69,000 - 68,000$; actual cost exceeds the flexed budget.
D	Adjacent category	Compares to the static budget of \$60,000, mixing in the volume change.

8. Answer D Concept 6

A sole proprietor ~~whose bakery has a 4.8 star rating~~ pays family groceries from the business checking account and buys flour on her personal credit card. At tax time her records are a mess. What is the best practice?

Target word: handling personal vs. business money **Decides:** Business and personal money are mixed.

A	Dropped element	Drops classification; totals can balance while expenses are misreported.
B	Adjacent category	A new entity limits future liability but does not clean up records.
C	Confusion set	The payer account does not make a personal cost a business expense.
D	Correct	Separation keeps records accurate and expenses properly classified.

9. Answer B Concept 7

Sales this year were \$500,000, and inventory has held steady at 20% of sales. Sales are forecast to grow 10% next year. ~~The CFO expects interest rates to fall.~~ Using the percent-of-sales method, what inventory should be forecast?

Target word: forecast inventory **Decides:** $20\% \times (500,000 \times 1.10)$.

A	Dropped element	Uses this year's sales and drops the growth.
B	Correct	Forecast sales $550,000 \times 20\%$.
C	Wrong stem number	Grows current inventory by 20% instead of 10%.
D	Adjacent category	That is the sales increase, not inventory.

10. Answer D Concept 7 • transfer

Pro forma inventory for next year is \$90,000, and inventory runs at 15% of sales. What sales forecast does this imply?

Target word: solve for sales **Decides:** $\text{Sales} = 90,000 / 0.15$.

A	Adjacent category	Grows inventory by 15%; the percent is of sales, not a growth rate.
B	Wrong stem number	The inventory figure itself.
C	Inverted operation	Multiplies instead of divides.
D	Correct	$90,000 / 0.15 = 600,000$.

11. Answer C Concept 8

A machine ~~for the company's Tucson plant~~ costs \$120,000 and will save \$30,000 a year over its six-year useful life. What is the payback period?

Target word: payback **Decides:** $120,000 / 30,000$.

A	Adjacent category	Years of savings left after payback, not payback itself.
B	Inverted operation	$30,000 / 120,000$ flips the ratio.
C	Correct	$120,000 / 30,000 = 4$.
D	Wrong stem number	The useful life, not payback.

12. Answer B Concept 8 • transfer

A \$200,000 project with equal annual cash inflows has a payback period of 5 years. What is the annual inflow?

Target word: solve for annual inflow **Decides:** $200,000 / 5$.

A	Confusion set	Simple payback does not discount.
B	Correct	$200,000 / 5 = 40,000$.
C	Wrong stem number	The project cost.
D	Inverted operation	Multiplies cost by years.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	6	
Adjacent category	The right idea in the wrong bucket.	8	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	5	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Time value of money	$FV = PV \times (1 + r)^n$; $PV = FV / (1 + r)^n$. Interest compounds on prior interest.	Using simple interest, or multiplying when you should divide.	A rate, a number of years, and a present or future amount.
2	Net present value	NPV = PV of future cash flows – initial cost; accept if NPV > 0.	Adding cash flows without discounting.	An upfront cost, yearly cash flows and a discount rate.
3	Liquidity ratios	Current ratio = current assets / current liabilities; quick ratio leaves out inventory.	Mixing in long-term items or flipping the ratio.	A balance sheet list with both current and long-term items.
4	Profit margins	Gross margin = gross profit / revenue; operating margin = operating income / revenue; net margin = net income / revenue.	Reporting gross or operating margin when net is asked.	An income statement with several subtotals.
5	Flexible budgets	A flexible budget restates planned costs at actual volume, so variances reflect performance, not volume.	Comparing actual cost at a new volume to the original static budget.	Actual volume differs from budgeted volume.
6	Separating personal and business finance	Keep business and personal money in separate accounts and record owner withdrawals as draws; a sole proprietor is personally liable for business debts.	Treating personal spending from a business account as a business expense.	A small-business owner paying personal and business bills from the same account.
7	Percent-of-sales forecasting	Forecast items that move with sales at their current percent of sales times forecast sales.	Applying the percent to current sales, or using the growth rate as the percent.	A sales growth forecast and an item stated as a percent of sales.
8	Payback period	Payback = initial cost / annual cash inflow (even flows); it ignores the time value of money and cash after payback.	Reporting the asset's useful life, or flipping the ratio.	"How long until we get our money back?"

Course scope (public description): This course provides students with an introductory look at the discipline of finance and its context within the business environment. Students gain the knowledge to differentiate between personal and business finance and how they may overlap in a business environment. Students also gain a fundamental knowledge of financial forecasting and budgeting, statement analysis, and decision making. This course provides the student a business generalist overview of the field of finance and builds on previous acquired competencies related to using spreadsheets.